

24STCV24597 24STCV24597

County: los-angeles

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Case Number: 24STCV24597 Hearing Date: July 8, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

ABIGAIL

TERRASAS

Plaintiff,

vs.

GENERAL

MOTORS, LLC, et al.,

Defendants

Case No.:

24STCV24597

Hearing

Date:

July 8, 2026

[TENTATIVE]

ORDER OVERRULING DEMURRER WITH MOTION TO STRIKE, IN PART

I. BACKGROUND

Plaintiff Abigail Terrasas ("Terrasas")

entered into a warranty contract with Defendant General Motors, LLC ("GM") regarding a 2021 Chevrolet Bolt EV ("subject vehicle"). The subject vehicle allegedly has defects and nonconformities making the car effectively worthless. GM allegedly was aware of the subject vehicle's defects and failed to disclose the existence of defects at all times to Terrasas. Terrasas sues GM for five causes of action, including fraudulent inducement – concealment.

On March 5, 2026, GM filed a demurrer with motion to strike.

Terrasas does not oppose the motion.

II. LEGAL STANDARD

Code of Civil Procedure

section 430.10[1]

states: "The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: (a) The court has no jurisdiction of the subject of the cause of action alleged in the pleading; (b) The person who filed the pleading does not have the legal capacity to sue; (c) There is another action pending between the same parties on the same cause of action; (d) There is a defect or misjoinder of parties; (e) The pleading does not state facts sufficient to constitute a cause of action; (f) The pleading is uncertain. As used in this subdivision, "uncertain" includes ambiguous and unintelligible; and (g) In an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct."

As a general matter, in a

demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian

v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (E-Fab,

Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the

complaint's properly pleaded or implied factual allegations. (Ibid.)

The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.)

The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

III. DISCUSSION

GM

demurrers to Terrasas's SAC's fifth cause of action for fraudulent inducement—concealment, on the basis it is barred by the statute of limitations, fails to state facts sufficient to establish a cause of action, and fails to allege a transactional relationship giving rise of the duty to disclose.

A. Statute of Limitations

GM

first requests the Court sustain the demurrer as to the fifth cause of action for Fraudulent Inducement – Concealment on the basis it is barred by the statute of limitations. Under Code of Civ. Proc. section 338, subd. (d), an action based in fraud has a three-year statute of limitations accruing from “the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” A plaintiff must exercise reasonable diligence in discovering alleged fraud. (Seelenfreund v. Terminix of Northern California, Inc. (1978) 84 Cal.App.3d 133, 136.)

Terrasas

alleges he entered into a warranty contract on June 6, 2021. (SAC, p. 1 ¶ 7.) However, Terrasas

could not have reasonably discovered any alleged fraud prior to delivery of the vehicle. Terrasas does not allege when the subject vehicle was delivered. Therefore, GM's argument the SAC, provides, on its face, a basis to demur based upon the statute of limitations is incorrect. Without information as to the date of delivery, the Court is unable to determine if the cause of action is barred by the statute of limitations.

The

Court overrules the demurrer as to this issue.

B.

Failure to

State a Cause of Action

GM

next demurrers to the fifth cause of action for failure to allege facts sufficient to state the cause of action, pursuant to Code of Civ. Proc. section 430.10, subdivision. (e). "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40.) GM specifically alleges the cause of action fails to meet the specificity and the duty to disclose requirements.

1.

Specificity

GM argues Terrasas fails to sufficiently

allege the concealed defects of the subject vehicle, GM's awareness of said defects, what materials were relied upon by Terrasas and GM's intent to defraud. California's fact pleading standard requires the plaintiff to plead with sufficient specificity to "furnish the defendant with certain definite charges which can be intelligently met." (Committee on Children's Television, Inc. v. General Foods Corp. (1985) 35 Cal.3d 197, 216.) The specificity requirement is relaxed when, from the nature of the allegations, it appears "the defendant must necessarily possess full information," or "when the facts lie more in the knowledge of the opposing parties." (Alfaro v.

Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384-85, internal quotations omitted; Tarmann v. State Farm Mutual Auto-Mobile Ins. Co. (1992) 2 Cal.App.4th 153, 158.) Details are to be the subject of discovery. (See Alfaro, *supra*, at 1385.)

Here, Terrasas's cause of action for fraudulent inducement specifically identifies the subject vehicle's lithium-ion battery as defective, resulting in various problems, including "the battery system overheating when charged to full capacity or near full capacity, losses of propulsion power while driving, catastrophic fire, no crank, reduced range, thermal runaway, and/or spontaneous combustion[.]" (SAC, p. 16 ¶ 99.) The FAC further alleges GM knew or should have known about these engine defects due to internal data, repair orders, testing and other internal sources. (SAC, p. 17 ¶ 103(a).) The failure to disclose via typical methods, such as marketing brochures and floor displays, is indicative of GM's intent to defraud. (SAC p. 1 ¶ 7, and p. 17 ¶ 104.)

Terrasas has asserted a general problem—the subject vehicle's lithium-ion battery—of which GM would have superior knowledge of facts regarding defects. Terrasas has also alleged where GM would obtain said superior knowledge, and that GM failed to disclose said knowledge. Further details are the subject of discovery. Terrasas's SAC complies with pleading requirements as to this issue.

2. Duty to Disclose

GM next argues Terrasas has failed to allege GM had a legal duty to disclose the alleged defect. Nondisclosure or concealment may constitute actionable fraud in four circumstances: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material fact." (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.) A duty to disclose may also arise when a defendant possesses or exerts control over material facts not readily available to the plaintiff. (Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1198, 1199.)

Ordinarily, a duty to disclose absent a

fiduciary relationship “presupposes the existence of [a] relationship between the plaintiff and defendant in which a duty to disclose can arise.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 311.) GM relies on the general rule to argue that, because Terrasas did not purchase the vehicle directly from GM, there was not a “direct dealing” between the parties that gives rise to a duty to disclose. (Ibid.)

GM's reliance is misplaced. A vendor has a duty to disclose material facts “not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (OCM Principle Opportunities Fund v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 859-60.) The duty to disclose to subsequent purchasers is limited: the plaintiff must show that the seller had special “reason to expect” that the fraud will be passed onto subsequent purchasers. (Geernaert v. Mitchell (2007) 31 Cal.App.4th 601, 607-08.) Mere foreseeability is insufficient. (Id. [citing Restatement (Second) of Torts section 305, cmt. d (1977)].) In determining whether the seller had “reason to expect” that the fraud will be passed onto subsequent purchasers, courts generally consider two factors: “(1) the extent of the seller's knowledge of resale to a particular person or class of persons and (2) the likelihood that the particular misrepresentation (or concealment) would be passed on to them.” (Id. at 608.)

Here, the SAC alleges GM manufactured and/or distributed the subject vehicle, which Terrasas purchased from GM's authorized dealer. (SAC p. 1 ¶¶ 6-7.) The SAC also alleges GM actively concealed the existence and nature of the defect prior to purchase, during the time of purchase, and at all times while repairing the subject vehicle. (SAC p. 8 ¶ 55.) Terrasas has sufficiently alleged facts of GM having a reason to expect the fraud could be passed to subsequent purchaser. The pleadings have adequately pled GM's duty of disclosure.

GM has failed to provide adequate basis for the Court to sustain a demurrer as to failure to state a cause of action. As the Court finds no basis to sustain, the Court overrules the demurrer in full.

C. Motion to Strike

GM next requests the Court strike the request for punitive damages from the SAC. GM's request is, in part, based upon the Court sustaining the demurrer as to the cause of action for fraudulent inducement. As the Court overruled the demurrer on this basis, the Court does not address this argument.

GM also argues the request for punitive damages should be stricken as the existence of fraud, the basis for the punitive damages, is not proven by clear and convincing evidence. Pursuant to Civil Code section 3294, subdivision a, punitive damages may only be imposed if proven by clear and convincing evidence. However, this is not a pleading standard; this standard controls imposition of punitive damages at trial. Therefore, this is irrelevant for purposes of a motion to strike.

Whether a party may plead a request for punitive damages is based upon the allegations of a complaint. Facts must be alleged in the pleading to support a claim for oppression, fraud, or malice. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 161.) Here, Terrasas has adequately pled facts alleging a claim for fraud against GM, as addressed previously. Terrasas did not merely assert a cause of action for fraud but provided sufficient factual allegations to support said claim. Therefore, the Court denies the motion to strike.

IV. CONCLUSION

Defendant

GM US LLC's demurrer to Plaintiff Abigail Terrasas's Second Amended Complaint is OVERRULED.

Defendant GM US LLC's motion to strike is DENIED.

Terrasas is ordered to give notice.

DATED:

July 8, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE

TAKE NOTICE:

- Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

- If a

party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

- Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If the

parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated statutory references are to the Code of Civil Procedure.